

Growth-stage investing

Investor perspective on investing in growth-stage companies

August 2024

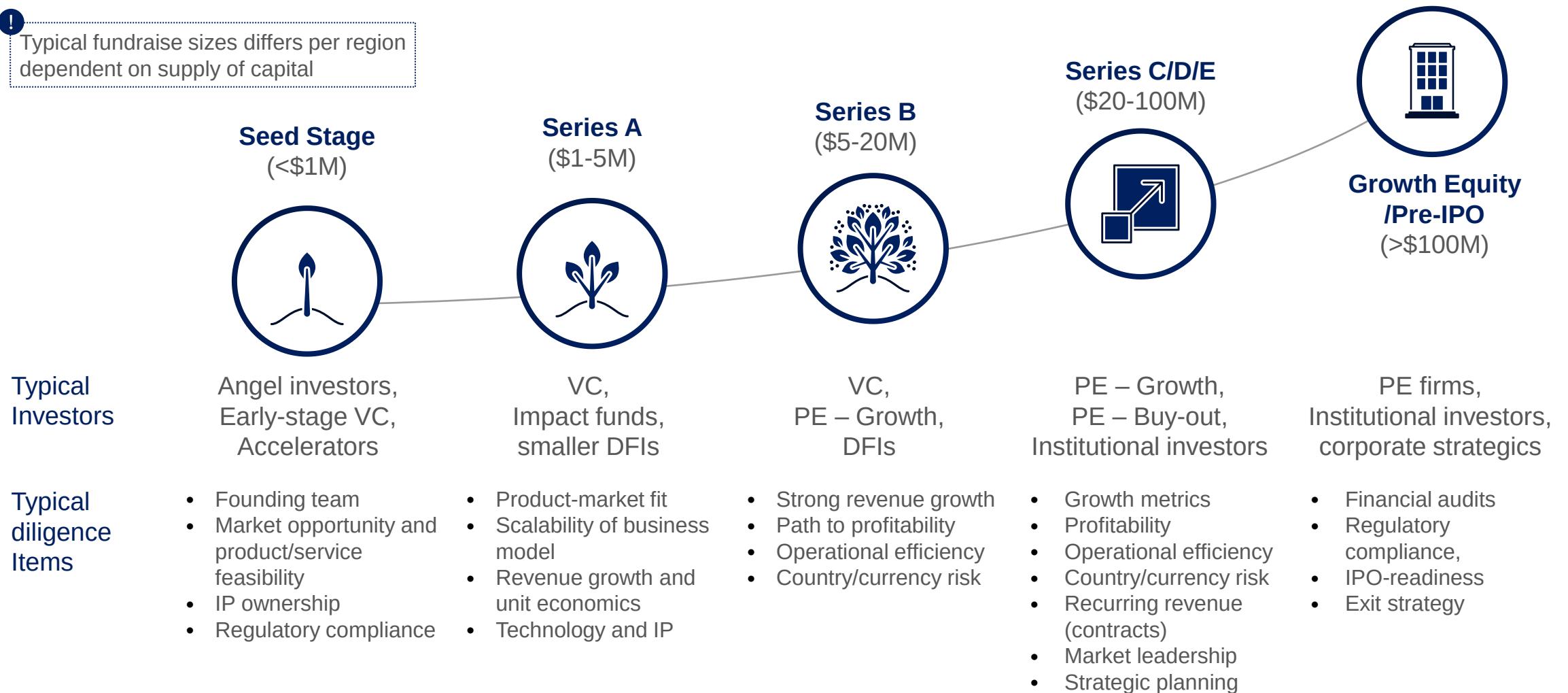
Objectives of this document

Provide background to most important concepts in investing in growth-stage companies in an African context focusing on:

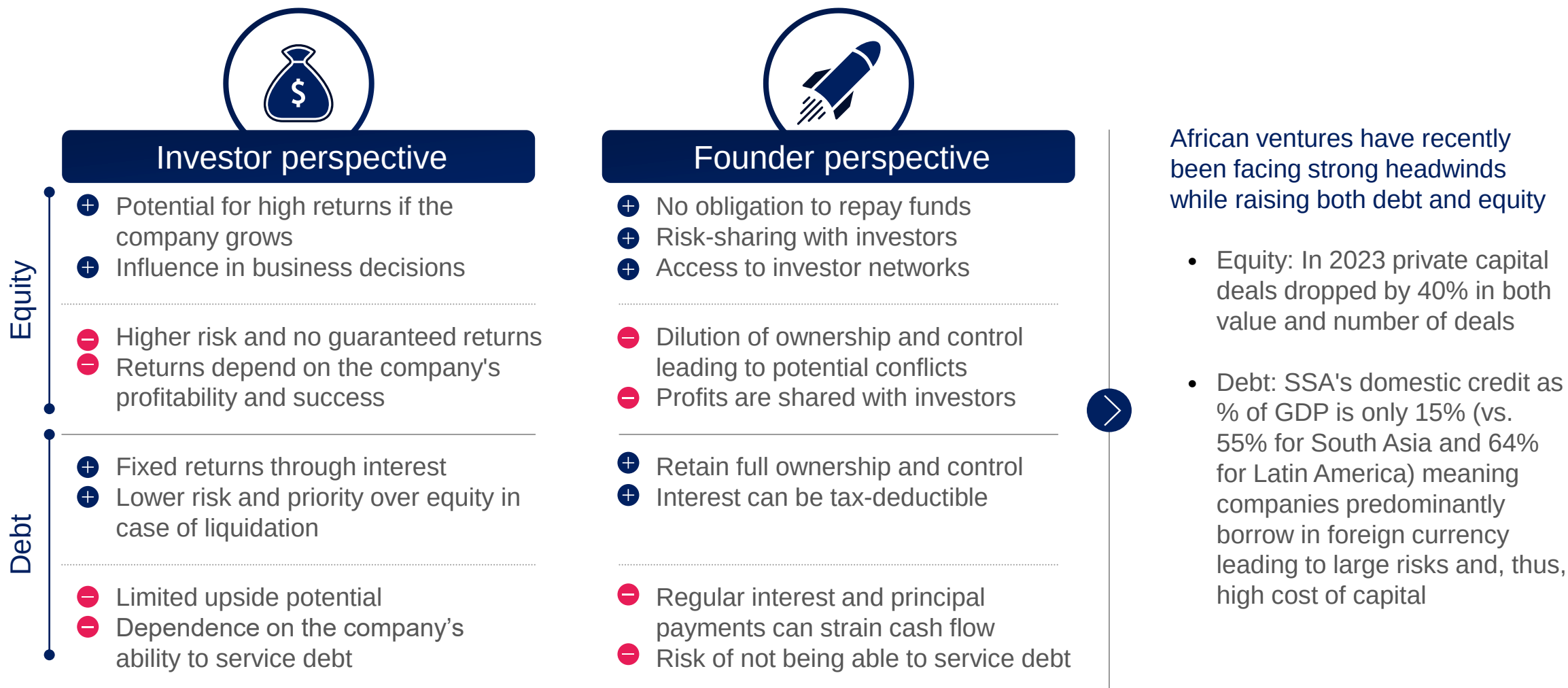
- Overview of fundraising journey
- Raising equity vs. debt
- Macro trends for fundraising in Africa
- Investors' approach to investment decisions
 - Diligence process
 - Valuation methodologies
- Glossary and reading suggestions

Fundraising journey – equity | Successful African start-ups go through several fundraising rounds with each having distinct investor types and diligence items

! Typical fundraise sizes differs per region dependent on supply of capital



Equity vs. debt | Investors have various reasons for providing either debt or equity, similarly founders prefer to raise debt or equity depending on their context

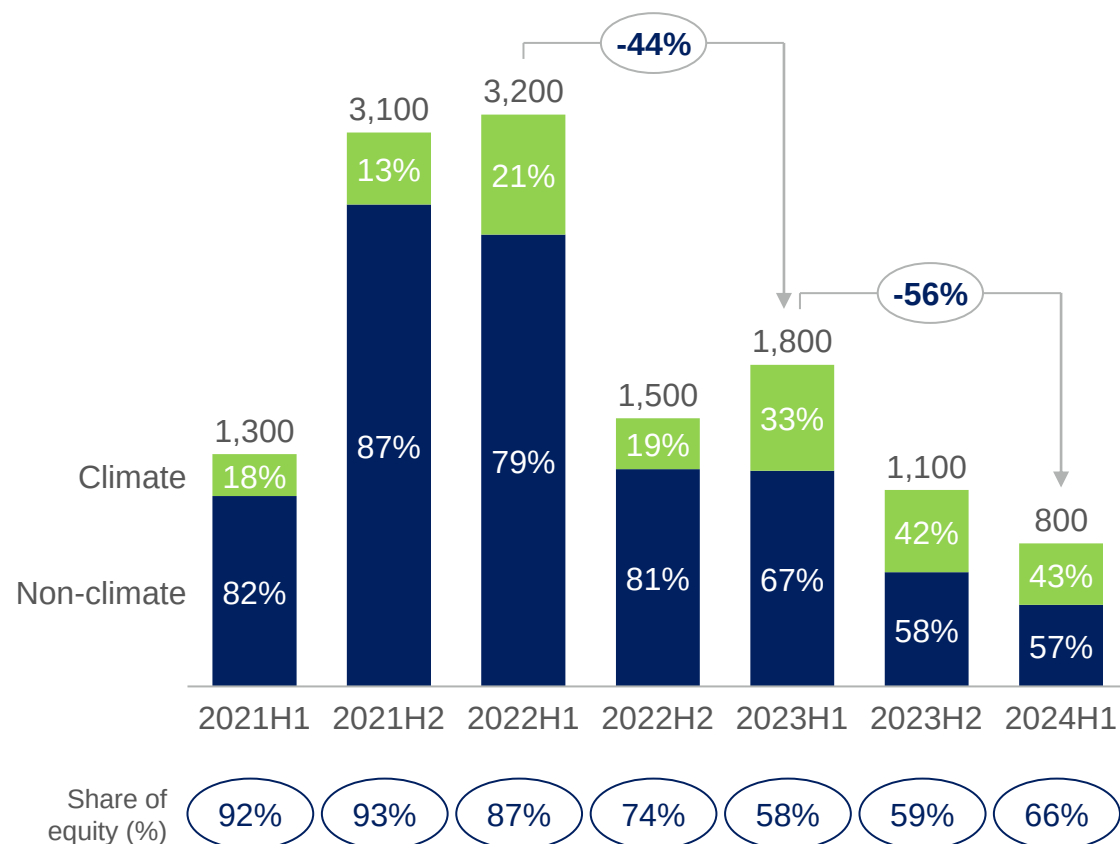


Investors can provide different types of debt depending on preferred risk-return profiles (e.g., senior debt, subordinated debt, mezzanine debt, or convertible debt)

Funding winter | African ventures need support in adapting their fundraising approach as total funds raised have declined by >40% for two consecutive years

Total VC and PE - Growth funding declined by c.50% YoY for the last 2 years; in the same period climate investment as share of total has increased from c.20% to c.40%

Total VC and PE – Growth funding raised by African ventures split by climate vs non-climate (\$M, 2021H1-2024H1)



As a result of this 'funding winter':

- Bankruptcies have increased and jobs have been cut (+2.5k in 2024 YTD)
- Only 30% of African startups that raised \$100k+ earlier manage to secure a follow up round

“ 9 Nigerian startups that collectively raised \$70M+ in the last 2 years have shut down in 2023

-Nairametrics

“ Sendy (e-logistics), iProcure (agritech), Copia (B2C e-commerce) all entered administration despite recording growth at the start and raising a lot of funding earlier

- TechCabel

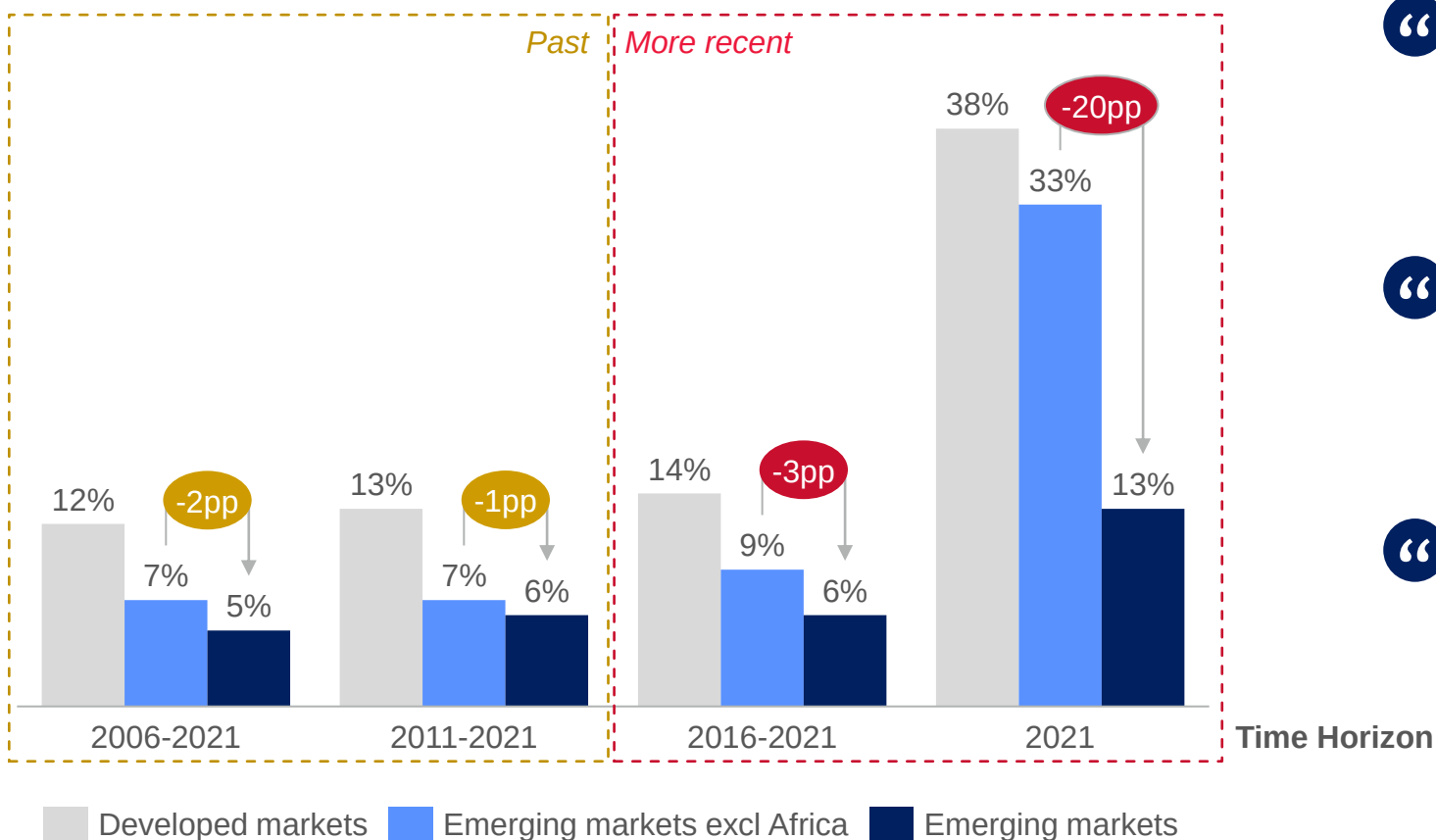
African ventures need hands-on support to adapt their fundraising approach to the new reality

- Investors are more strongly focused on profitability than just growth
- Investors need more material substantiating resilience to external shocks (recession, inflation, and FX swings)
- Investor terms sheets are becoming less favourable (higher interest and lower valuations)
- Business need more visibility to a broad investor base

Historical returns | With Africa included, investor returns in emerging markets are lower than when Africa is excluded and this gap has widened in recent years

Africa-focused PE¹ and VCs funds underperform other emerging markets and the gap has widened in recent years

Average annualized returns from selected PE¹ & VC funds in emerging markets and developed markets (% , 2006-2021)



“ ... within the past 10-15 years we have witnessed the **number of Private Equity funds decline drastically** from ~250 in 2014 to ~50 today

“ Majority of LPs share a view that **African returns will underperform** in the next few years hence leading to reduced funding today

“ Lots of companies are **looking to raise large growth rounds soon and are struggling**

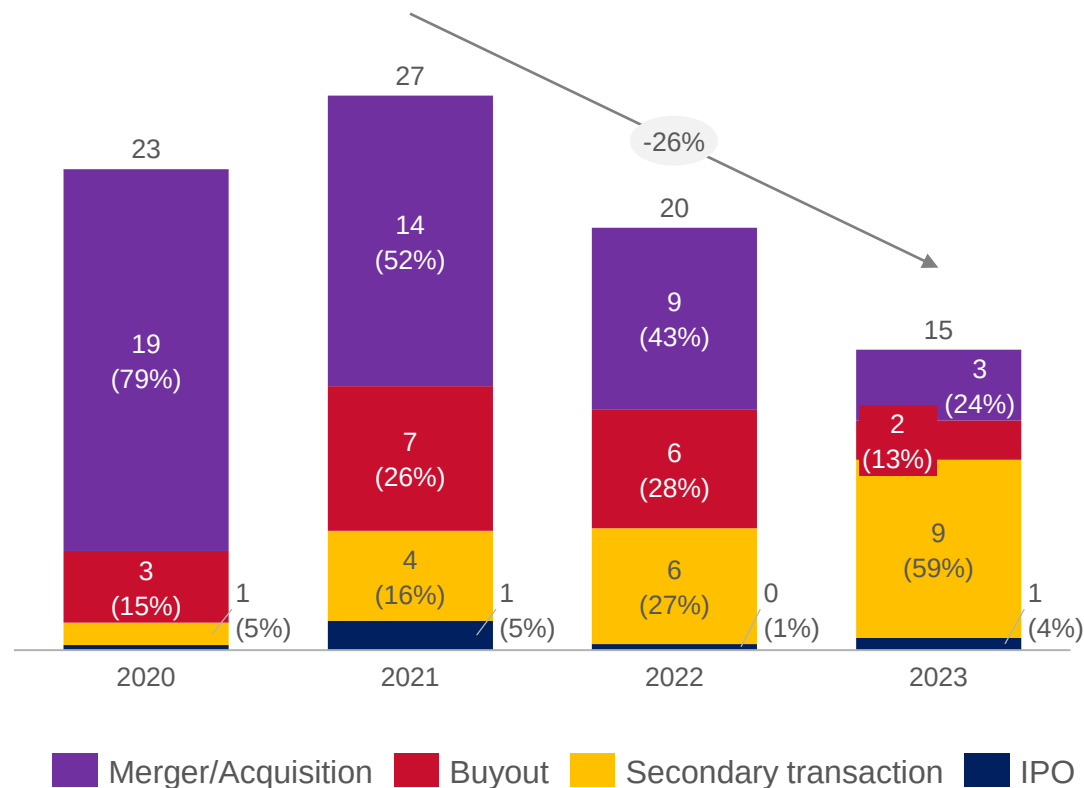
-Africa Equity investors

1. Includes PE – Subordinate capital and PE – Growth, but not PE – Buy-out; Note: Does not account for funds across the continent that have not been realized
Source: Private equity & venture capital impact investing, Cambridge Associates 2021; AVCA private equity industry survey 2021; Stakeholder interviews; BCG analysis

Exit value | Exit prospects have deteriorated strongly in the last three years as average exit values by countries have dropped by 10-80%

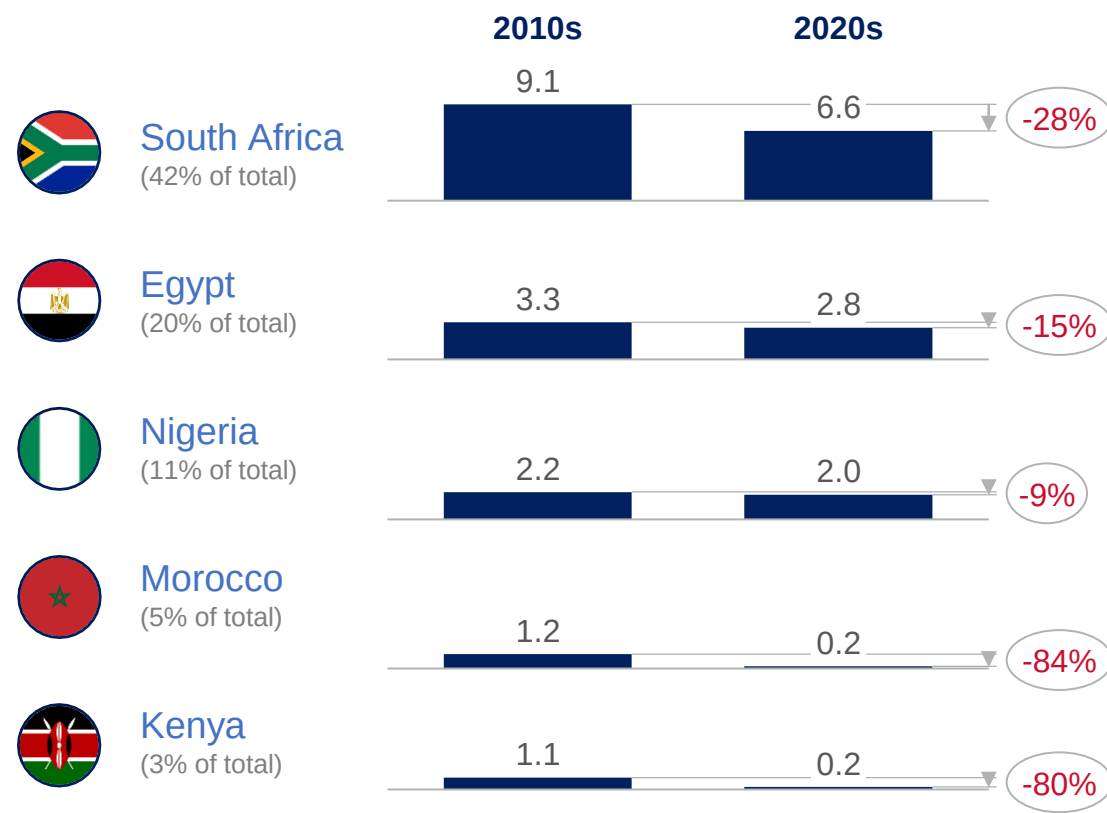
Total exit value has dropped by c.25% p.a. since 2021 with only secondary transaction growing...

Exit value from African investments (\$B, 2020-2023)



... with average exit value dropping in all 5 largest countries in terms of total exit value

Average exit value from African investments for top-5 countries (\$B, 2020-2023)



Process | Investor performs in-depth assessment of business model assumptions, which feeds into the negotiation on equity or debt terms

Before proposing the terms of an equity investment in a growth-stage company, an investor typically assesses the diligence items below (see later slide for debt raise)



Market assessment

- Market definition and size
- Market drivers and growth outlook
- Volume & price development
- Market risks



Competition and customer

- Value proposition and positioning
- Competitive landscape and market share
- Customer satisfaction



Historical and future performance

- Business model
- Unit economics
- Historical performance and assessment of growth plans
- Key risks and upsides



The diligence outcomes flow into financial models indicating the valuation (see next slide), amount to invest, expected ROI, and perceived risk

These form the basis for the proposed terms for the investment



Equity term sheet

- Valuation and equity amount
- Ownership structure
- Board composition
- Investor rights



Debt term sheet

- Principal
- Interest rate
- Repayment Schedule
- Collateral
- Events of default

Optionally, Legal, Technical, and Operational diligence are executed in parallel

Requested equity & valuation and debt terms are negotiable and often change during fundraising

Diligence items - Equity | Investors typically focus on 4 main topics when performing diligence for an equity investment



Sizable and growing addressable market

- Size of total and serviceable addressable market
- Historical and projected market growth
- Opportunities for expansion in current market
- Macroeconomic environment
- Regulatory market environment



Strong competitive positioning, supported by sustainable competitive advantage

- Current market share & share development
- Unique value proposition
- Proof of competitive advantage (e.g., IP, brand, current investors)
- Leadership and management quality and team capabilities
- Customer loyalty and retention



Proven track record through historical performance

- Revenue growth, recurring revenues, time to EBITDA positive
- Development of profit margins and cash positions



Well-supported business plan

- Short-, medium- and long-term ambitions incl. planned expansions with key milestones, KPIs, and sustainable, scalable revenue model (and forecasts)
- Plan for identifying and mitigating risks
- Well-supported utilization plan for new funding
- For strategic investors: Potential for synergies between investee and investor business



For impact investors: High impact across climate, job creation, and Women Economic Empowerment

- Jobs and livelihoods enhanced through mechanization
- Women empowerment
- Green credentials e.g. CO2 emissions avoided

Diligence items - Debt | Investors focus on 4 main topics when performing diligence for a debt facilitation



Strong product-market fit and essentials in place for scaling

- Growing revenue
- Positive customer reviews
- Positive industry outlook



Healthy profit margins & cash position with sufficient runway

- Healthy profit margins & cash flows allowing debt servicing
- Sufficient cash runway



Risk management: Strong credit worthiness, team, competitive adv. and risk management processes

- Positive credit history
- Proven resilience to previous shocks (FX, inflation)
- Resilience to competitors
- Renowned current investors
- Strong management team
- Any guarantees / collateral present



For concessional investors: High impact across climate, job creation, and Women Economic Empowerment

- Create meaningful jobs
- Strong green credentials
- Empowering women

Example | [Company] presents an attractive opportunity to invest in a fast-growing business with high development impact and clear path to profitability

Initial
assessment

Sanitized



Strong product-market fit and essentials in place for scaling

- [Company] operates across [Region] having serviced +4,500 customers through digital platform allowing online booking and payment
- 80% of customers are repeat customers and highly value product (high NPS score of 34)
- Revenue projected to grow by 200% p.a. from \$X.XM to \$XXM (FY2024-FY2026)
- Currently limited view on total market size and existing market share



Healthy profit margins & cash position with sufficient runway

- [Company] just closed equity round providing cash runway until Q1 2026
- [Company] product has strong unit economics resulting in an operating margin of [GM]%
- [Company] aims to be EBITDA positive operations by end of 2025 and given debt conditions this leads to a Debt Servicing Ratio (DCS) of [X.X] indicating sufficient margins to service debt
- DCS fluctuates strongly before reaching [X.X] in [XX] raising concerns about ability to service debt
- Limited proof points yet of assumed unit economics



Risk management: Strong credit worthiness, team, competitive adv. and risk management processes

- [Company] has only raised grants and equity and no other legacy debt obligations
- [Company] faces FX risks as revenue is generated in local currency and costs are in USD
- [Company] has unique competitive positioning due to user friendly GtM and competitive pricing due to lower operational costs
- Founder team (CEO and CCO) intact with long track-record in industry



For concessional investors: High impact across climate, job creation, and Women Economic Empowerment

- Investments will support nascent [Region] [Green Sector] sector by replacing fossil fuel trucks and supporting build-out of local charging infrastructure
- Investment expected to create 500 direct jobs and 1,250 indirect jobs in [Region]
- Strong Women Economic Empowerment potential as 40% of workforce is female, recruiting strategy tailored to achieving 50%, and 50% of customers are women



Discounted Cash Flow (DCF) and multiple valuations are preferred methods for valuing growth-stage companies, debt facilitators consider DSCR

Equity valuations



Discounted Cash Flow (DCF) *Bottom-up*

Project all future cash flows (profits) and calculate the present value using a discount rate

If company A makes \$10M p.a. for the next 10 years assuming 10% discount rate, it has a present value of \$61M¹ for those years

- + DCF values intrinsic value
- + Detailed analysis allows tailoring assumptions
- Requires extensive analysis
- Highly sensitive to change in assumptions, which can often change quickly with early-stage companies



Multiple valuation *Top-down*

Compare key financial metrics (Revenue, EBITDA) for the target with peer companies to determine valuation

For example, 10 similar companies (sector, and size) were sold for 8-12x EBITDA recently, so company A's value is c.10x EBITDA

- + Easy to calculate and understand
- + Considers market sentiment
- Does not consider company specifics
- Subject to market sentiment make valuations period-specific

Debt evaluation



Debt Service Coverage Ratio (DSCR)

Lenders evaluate DSCR to understand a company's ability to generate enough cash flow to service its debt payments (principal and interest)

If a company has a monthly net operating income (Revenue minus Operating Expenses) of \$500k and total debt service of \$400k, the DSCR is 1.25 indicating it generates a cash surplus of 25% relative to the debt payments

High-growth sectors prefer a DSCR >1.5 as cash flow assumptions are uncertain

1. This is simplified example as beyond the projected cash flows of 10 years the company has a perpetual value, which is often estimated through the Gordon growth method

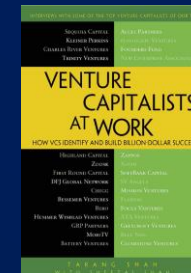
Glossary...

- **Seed Funding:** Initial capital used to start a business, often from personal savings, family, and friends
- **Series A/B/C Funding:** Stages of venture capital financing, with each series representing a new round of investment
- **Angel Investors:** High-net-worth individuals who provide early-stage capital for startups, often in exchange for ownership equity
- **Venture Capital:** Investment funds that manage the pooled capital of investors seeking private equity stakes in startups and small- to medium-sized enterprises with strong growth potential
- **Crowdfunding:** Raising small amounts of money from many people, typically via the Internet
- **EBITDA:** Earnings Before Interest, Taxes, Depreciation, and Amortization
- **Initial Public Offering (IPO):** The process by which a private company offers shares to the public in a new stock issuance.
- **Pre-Money Valuation:** The valuation of a company before new investment or financing.
- **Post-Money Valuation:** The valuation of a company after new investment or financing has been added to the balance sheet.
- **Burn Rate:** The rate at which a company is spending its capital before it starts generating its own income.
- **Runway:** The amount of time a company can operate before it needs more funding, given its current burn rate.
- **Cap Table (Capitalization Table):** A table showing the equity capitalization of a company, detailing the ownership stakes.
- **Term Sheet:** A non-binding agreement outlining the basic terms and conditions under which an investment will be made.
- **Exit Strategy:** A planned approach to sell or dispose of an investment, such as through an IPO or acquisition.
- **Dilution:** The reduction in existing shareholders' ownership percentages of a company due to the issuance of new equity.

...and reading list



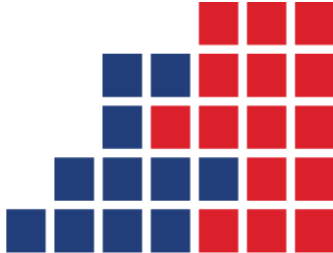
Zero to One: Notes on Startups, or How to Build the Future by Peter Thiel and Blake Masters



Venture Capitalists at Work: How VCs Identify and Build Billion-Dollar Successes by Tarang Shah



The Lean Startup: How Today's Entrepreneurs Use Continuous Innovation to Create Radically Successful Businesses by Eric Ries

The logo graphic consists of a grid of squares arranged in a stepped pattern. The top row has 4 red squares, the second row has 3 red squares, the third row has 2 red squares, and the bottom row has 1 red square. To the left of these red squares are blue squares, also in a stepped pattern, with the top row having 3 blue squares, the second row 2, the third row 1, and the bottom row 0.

GROWTH GATEWAY

**GLOBAL PROSPERITY THROUGH
TRADE & INVESTMENT**

 UK Government